

5-6c Adjusting Process under the Periodic Inventory System

The adjusting process is the same under the periodic and perpetual inventory systems except for the inventory shrinkage adjustment and customer refunds and allowances. The ending inventory is determined by a physical count under both systems.

Under the perpetual inventory system, the ending inventory physical count is compared to the balance of Inventory. The difference is the amount of inventory shrinkage. The inventory shrinkage is then recorded as a debit to Cost of Goods Sold and a credit to Inventory.

Under the periodic inventory system, the inventory account is not kept up to date for purchases and sales. As a result, the inventory shrinkage cannot be directly determined. Instead, any inventory shrinkage is included indirectly in the computation of the cost of goods sold as shown in [Exhibit 20](#). This is a major disadvantage of the periodic inventory system. That is, inventory shrinkage is not separately determined.

Exhibit 20

Determining Cost of Goods Sold Using the Periodic System

Inventory, January 1, 20Y8.....		\$ 59,700
Cost of merchandise purchased:		
Purchases	\$521,980	
Purchases returns and allowances	(9,100)	
Purchases discounts	(2,525)	
Net purchases	\$510,355	
Freight in.....	<u>17,400</u>	
Total cost of merchandise purchased.....		<u>527,755</u>
Inventory available for sale		\$587,455
Inventory, December 31, 20Y8		<u>(62,150)</u>
Cost of goods sold before estimated returns		\$525,305
Increase in estimated returns inventory		<u>(5,000)</u>
Cost of goods sold		<u>\$520,305</u>

Like the perpetual inventory system, the periodic system records the same adjusting entry debiting Sales and crediting Customer Refunds Payable for estimated customer refunds and allowances of \$7,154. No entry, however, is made for estimated returns inventory. Instead, cost of goods sold is reduced by the cost of the estimated returns inventory for the current year. The estimated cost of the returns for [NetSolutions](#)' 20Y9 sales is \$5,000. This amount is subtracted from the cost of goods sold before estimated returns of \$525,305 to yield cost of goods sold of \$520,305, as shown in [Exhibit 20](#).

